EXECUTIVE SUMMARY

A. Introduction:

Tuguegarao City was originally created in May 1604 as a "mission pueblo" . There is no record available regarding the law creating it as a municipality. By virtue of Republic Act No. 8755, "An act converting the Municipality of Tuguegarao, Cagayan Province into a component city to be known as Tuguegarao City", Cagayan's first city was created. R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

Financial, compliance, and value for money audits were conducted on the accounts and operations of the LGU Tuguegarao City for the calendar year 2015. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules, and regulations as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained at an efficient, economic and effective manner.

B. Highlights of Financial Information:

The financial condition and results of operations of LGU-Tuguegarao City for CY 2015 with comparative figures for CY 2014, expressed in Philippine Peso, are as follows:

Accounts	2015	2014	Increase/(Decrease)
Assets	2,679,994,276.17	2,497,191,811.68	182,802,464.49
Liabilities	923,965,168.09	978,319,119.53	(54,353,951.44)
Government Equity	1,756,029,108.08	1,518,872,692.15	237,156,415.93
Income	707,365,303.55	630,563,673.29	76,801,630.26
Expense	465,756,974.99	439,770,812.42	25,986,162.57
Appropriation	733,585,068.00	629,073,000.00	104,512,068.00
Obligation	488,017,573.06	484,967,171.32	3,050,401.74

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2015 with comparative figures for CY 2014, expressed in Philippine Peso, are shown below:

Funds Received from Other Agencies	2015	2014	Increase/(Decrease)
NGAs	11,901,723.64	17,848,530.90	(5,946,806.36)
LGUs	1,250,000.00	0.00	1,250,000.00
NGOs/POs	0.00	0.00	0.00
Others	1,100,000.00	5,890,750.00	(4,790,750.00)
Total	**14,251,723.64**	**23,739,280.90**	**(9,487,556.36)**

C. Independent Auditor's Report on the Financial Statements:

The Auditor rendered a **qualified opinion** on the fairness of the presentation of financial statements of the LGU Tuguegarao City as of December 31, 2015 due to the following:

1. inability of management to conduct physical inventory of its properties with net book value of P1,600,642,916.60 rendering the Property, Plant and Equipment (PPE) account doubtful;

2. non-liquidation of cash advances totaling P3,931,055.76 as of year-end which affected the reliability of the Advances to Officers and Employees, Government Equity, and related expense accounts;

3. delayed preparation of monthly Bank Reconciliation Statements casting doubt as to the reliability of the Cash in Bank-Local Currency, Current Account balance of P457,330,553.80; and

4. reciprocal accounts Due to Other Funds and Due from Other Funds were unreconciled by P5,287,366.81 rendering the validity and reliability of the balances of the accounts doubtful.

D. Summary of Significant Findings and Recommendations:

1. **Deficiencies were noted in the procurement of various projects of the City totaling P31,983,402.50 which were not in accordance with pertinent provisions of the Revised Implementing Rules and Regulations of Republic Act No. 9184.**

   We recommended the following:

   Purchase of various construction and heavy equipment

   - The Technical Working Group should exercise prudence in the conduct of post-qualification and verify carefully the statements made and documents submitted by the bidder to ensure that their bids are responsive to the prescribed requirements.

   Purchase of motor vehicles

   - The Bids and Awards Committee must ensure that they post the Notice of Award, Notice to Proceed and approved contract in the PhilGEPS for all their procurement activities. Management should ensure that warranty security in form of retention money or special bank guarantee be submitted to guarantee the performance of the supplier to repair the defects, if any, on the motor vehicles within the warranty period.

- The Bids and Awards Committee should keep record and file of all bidding documents and other supporting documents. Also, they should ensure that all amendments to the bidding documents are covered by Supplemental/Bid Bulletins which are duly posted in the PhilGEPS.

Concrete Re-blocking and Purchase of Agricultural Tractor

- The Bids and Awards Committee should ensure that they post the Notice of Award, Notice to Proceed and approved Contract in the PhilGEPS for all their procurement activities, invite three observers in all stages of the procurement process, and prepare and sign the Results of the Eligibility Screening and the Bid Evaluation Report.

Purchase of communication gadget and service vehicle

- The Bids and Awards Committee should ensure that advertisements of invitation to bid for the City's procurement of various projects be valid only until the deadline for the submission and receipt of bids from prospective bidders and do not extend beyond this date.

2. **Disbursements totaling P26,923,940.95 for various projects were not supported with complete documentary requirements.**

   We recommended that management ensure that all payments to be made for the procurement of infrastructure projects be supported with the documentary requirements prescribed under Sections 9.1 and 9.2 of COA Circular No. 2012-001. We also recommended that the lacking documents be submitted immediately to facilitate the review of the projects.

3. **Additional monthly honorarium was granted by the City Government to the barangay officials, barangay secretaries and treasurers of the 49 barangays of Tuguegarao City totaling P2,179,000.00.**

   We recommended that management comply strictly with the provisions of DBM Local Budget Circular No. 63 and cause the refund of honoraria paid to barangay officials.

4. **Eight out of the 13 planned programs and projects funded out of the 20% Local Development Fund were not implemented as of December 31, 2015, hence, socio-economic benefits and services due to the City's constituents were delayed.**

   We recommended that management fast tract the implementation of all the unimplemented programs and projects of the LGU and ensure that future projects to be included in the Annual Investment Plan are implemented as scheduled.

E. Summary of Total Suspensions, Disallowances, and Charges:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	4,714,347.96		0.00	4,714,347.96	0.00%
Current Year	0.00	554,936.48	0.00	554,936.48	0.00%
Total	**4,714,347.96**	**554,916.48**	**0.00**	**5,269,284.44**	**0.00**
Disallowances:					
Prior Years	988,688.35		188,961.84	799,726.51	19.11%
Current Year		9,812,759.16	68,738.00	9,744,021.16	0.70%
Total	**988,688.35**	**9,812,759.16**	**257,699.84**	**10,543,747.67**	**2.39%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations:

Of the 26 audit recommendations embodied in the 2014 Annual Audit Report, only three were implemented, nine were partially implemented and 14 were not implemented.